

16 Aug 2026 18:07:24 ET | 13 pages

Centre Testing International Grp (300012.SZ)

Growing Confidence in 2H26E Growth Momentum Following In-line 1H26 Results

CITI'S TAKE

CTI printed 1H26 revenue of Rmb3,429m, +15.9% yoy, and attributable net profit of Rmb563.7m, +20.6% yoy. This is largely in line with the mid-pt guidance of Rmb564m based on the previous preliminary 1H26 results. The recurring net profit rose 20.3% yoy, if excluding one-off gains of Rmb35.0m versus Rmb27.9m a year ago. The 2Q26 net profit growth slowed to 16.4% yoy compared with an unusual high of 30.9% in 1Q26 on a low base. See **Fig 1 & 2**. However, 2Q net profit growth maintained a mid-teens growth pace. The 2Q26 rev growth of 15.6% is comparable to 1Q's 16.2%, implying the company is on track to sustain a mid-teens rev growth target throughout this year. 3Q rev growth should sustain momentum on easier comps. Maintain Buy; **CTI remains in our China SMID top-pick list for this year.**

CTI will host a results briefing call – on **17 Aug at 3pm HKT** in Mandarin.

Growth Outlook for 2H26E and Beyond – With the in-line 1H26 results, we have more confidence in our earnings projection of ~16%/ 20% growth for revenue/net profit this year. The primary growth drivers for CTI over 2026 and 2027 stem from a balanced mix of emerging technological tracks, overseas expansion, and high-demand specialized sectors. First, strategic emerging industries, including **1)** semiconductor chip testing, **2)** AI compliance and hardware validation, **3)** low-carbon/ESG sustainability certification, and **4)** low-atlitude economy/new energy applications—are scaling rapidly to form solid second and third growth curves. Additionally, the continuous advancement of the company's globalization strategy, fueled by deeper synergy within its expanding overseas footprint across Europe, Southeast Asia, and Africa, is unlocking lucrative international trade and supply chain compliance demand. Recall CTI acquired a couple of overseas operations, most of which have started account consolidation since 4Q25. We expect at least 5% of total 15% rev growth target would come from those acquired assets so this is quite promising for full-year contribution. Finally, the rapid rebound of specialized sectors like CRO pharmaceutical research, medical device testing, and specialized consumer goods verification serves as an immediate catalyst for accelerating revenue and profit generation.

Net Margin Trend for 2026 and 2027 – We model the net margin will steadily expand to 16.9% in 2028E from 15.4% in 2025. We see room for further GM expansion in coming years given the continued GM recovery on **Pharmacy and Medical (P&M)** segment, Consumption segment thru turnaround of semi testing and

Buy

Price (14 Aug 26 15:00)	Rmb13.980
Target price	Rmb24.000
Expected share price return	71.7%
Expected dividend yield	1.4%
Expected total return	73.1%
Market Cap	Rmb23,526M US\$3,490M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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GM recovery on auto testing. Recall **Life Science** GM contracted 1.3% yoy to 49.86%, **Industrial** testing GM slid 1.5% pt to 41.9%, **Trade Protection** testing GM was down 1.6% to 71.2%, accounting for 42%, 21%, 14% of total 1H26 sales. In contrast, **Consumption** and **P&M** segmental GM widened by 5.4% pt and 9.1% pt to 46.8% and 28.5% respectively, representing 17% and 6% of 1H26 sales. We expect more room for GM recovery on Consumption segment thanks to auto margin recovery and semi turnaround. P&M should have ample room to improve GM to be comparable to group average in the end, once it achieves economies of scale.

Operating leverage came from selling costs – 2Q selling expenses rose 5.4% yoy versus revenue up 15.9% yoy, cutting the ratio 150bp to 15.2% of revenue and carrying net margin up 65bp yoy to 16.4%. Admin expenses (+26.3% yoy) and R&D (+22.4% yoy) both ran ahead of revenue and added back ~100bp combined, which is where M&A integration and new-lab spend show up. On cash, AR closed at Rmb2,235m, up 8.0% from year-end versus revenue up 15.9% yoy, and OCF of Rmb437.6m covered 78% of 1H net profit. CTI continued the interim payout at Rmb0.05/share, Rmb84m in total.

Figure 1. CTI - Quarterly P&L results trend including 2Q26

Rmb mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2Q26 preliminary results		
							Low	Mid-point	High
Revenue	1,112	1,262	1,312	1,372	1,422	1,472	1,472	1,472	1,472
Cost of sales	582	652	672	692	712	732	732	732	732
Gross profit	530	610	640	680	710	740	740	740	740
Selling expenses	172	192	192	192	192	192	192	192	192
Admin expenses	112	122	122	122	122	122	122	122	122
R&D expenses	112	122	122	122	122	122	122	122	122
Other income	12	12	12	12	12	12	12	12	12
Operating profit	146	186	186	186	186	186	186	186	186
Financial income	12	12	12	12	12	12	12	12	12
Financial expense	12	12	12	12	12	12	12	12	12
Other income	12	12	12	12	12	12	12	12	12
Net profit	146	186	186	186	186	186	186	186	186
Net profit per share	0.12	0.15	0.15	0.15	0.15	0.15	0.15	0.15	0.15

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Source: Citi Research, Company Reports

Figure 2. CTI – Quarterly P&L margins and ratios up to 2Q26

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
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Figure 3. CTI forward PE chart – trading well below the historical mean



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Figure 4. CTI – forward PB chart – trading well below the historical mean



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Valuation

Our target price of RMB24 is based on 33x PE for FY26E at -0.5SD to historical mean which reflects 3-year EPS CAGR of 19% through 2027E. Mgmt has recently raised 2026E guidance of ~15% revenue growth from previous 10%. 1Q26 rev growth was 16% ahead of the full-year target, which should lift up investor confidence on company revv growth target this year. As a cross-check, we use a DCF approach, as CTI's business model in TIC services should generate sustainable strong FCF in the mid- to long-term, after the ambitious expansion period and the ramp-up of new businesses in automobile, semiconductor, ESG and Agriculture (under soil assessment). We employ a cost of equity of 8.5% (3% risk-free return, 8% market premium, and 1.2x beta), post-tax cost of debt as 3.0%, and terminal growth rate of 2%. The long-term growth rate is set in line with the industry growth rate for other developed countries, which should be sustained by China's ongoing stricter regulations and standards to guarantee product quality. Our DCF valuation model implied fair value of RMB25 is comparable to our PE-based target price.

Risks

Key fundamental downside risks that could prevent the stock from achieving our target price include: 1) unfavorable policy changes; 2) slower revenue growth due to market downturn and contraction; 3) faster increasing labor and rental costs; and 4) failures in M&A.

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Appendix A-1

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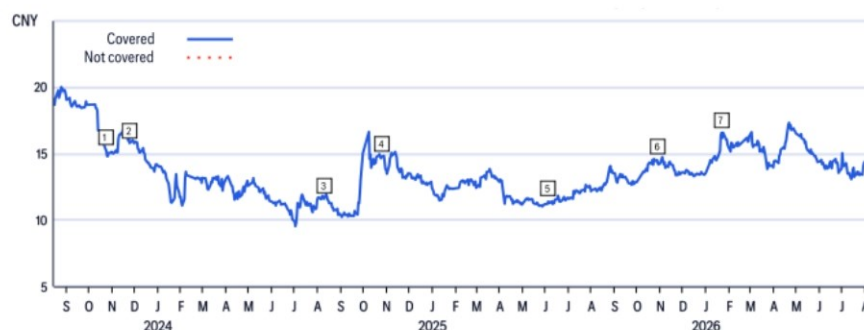
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Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 24-Oct-23 14:27:31	1	*25.00	15.22
2 24-Nov-23 08:42:16	1	*23.50	15.80
3 11-Aug-24 19:23:13	1	*19.00	11.60

Date	Rating	Target Price	Closing Price
4 25-Oct-24 12:33:55	1	*18.50	14.76
5 04-Jun-25 12:22:14	1	*17.50	11.39
6 27-Oct-25 06:56:59	1	*19.00	14.52

Date	Rating	Target Price	Closing Price
7 21-Jan-26 10:40:26	1	*24.00	16.57

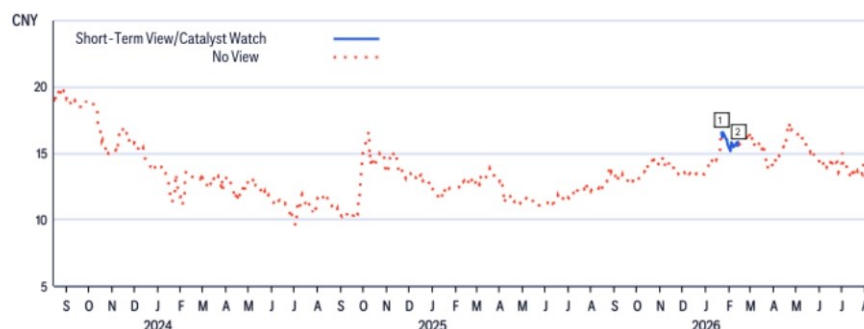
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Rating/target price changes above reflect Eastern Time

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Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



Date	Action	Expected Direction	Duration	Closing Price
1 21-Jan-26 05:40:26	Add CW	Upside	30 Days	16.57

Date	Action	Expected Direction	Duration	Closing Price
2 20-Feb-26 12:03:39	Remove CW	Upside	30 Days	15.61

CW - Catalyst Watch, STV - Short-Term View

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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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